

GigaDevice Semiconductor Beijing Inc | Asia Pacific

2H DRAM Procurement
Spending Steps Up from 1H

AlphaSignals Earnings Reaction

Unchanged	In-line	Largely unchanged
Impact to our thesis	Financial results versus consensus	Direction of next 12-month consensus EPS

Source: Company data, Morgan Stanley Research

Key Takeaways

- 2Q actual results were roughly in line with preliminary results.
- 2Q revenue was Rmb7.4bn, +76% Q/Q, +229% Y/Y, 1% above our estimate.
- 2Q EPS was Rmb7.7, +269% Q/Q, +1399% Y/Y, 1% below our estimate.

Takeaways from 2Q26 earnings call:

- **Revenue by segment:**
 - DDR4 2Q revenue roughly doubled Q/Q;
 - SLC NAND 2Q revenue more than doubled Q/Q;
 - NOR flash and MCU 1H revenue achieved significant Y/Y growth.
- **Gross margin:** The company expects memory and MCU pricing to continue improving moderately, while costs will also increase gradually. As a result, the gross margin would gradually reach a relatively steady state.
- **Related party transaction:** GigaDevice booked a Rmb2.0bn related party transaction with CXMT in 1H26, vs. the full-year procurement budget of Rmb5.7bn (link). The company still expects to fulfill the full-year procurement budget, which would imply 85% H/H growth in 2H, supported by continued DDR4 price hikes. GigaDevice also expects continuously increasing capacity support over the next few years from CXMT.
- **LTAs:** The company is considering some similar arrangements with its core customers.

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GigaDevice Semiconductor Beijing Inc (603986.SS,
603986.CG)

Greater China Technology Semiconductors | China

Stock Rating	Overweight
Industry View	Attractive
Price target	Rmb750.00
Up/downside to price target (%)	72
Shr price, close (Aug 18, 2026)	Rmb436.74
52-Week Range	Rmb846.66-121.51
Sh out, dil, curr (mn)	667
Mkt cap, curr (mn)	Rmb291,510
Avg daily trading value (mn)	Rmb13,761

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	2.48	34.72	45.09	52.05
EPS (Rmb)§	2.47	12.95	16.09	13.53
Revenue, net (Rmb mn)	9,203	38,638	66,329	76,136
EBITDA (Rmb mn)	2,027	27,157	34,789	40,120
ModelWare net inc (Rmb mn)	1,648	24,345	31,610	36,493
P/E	86.5	12.6	9.7	8.4
P/BV	7.4	7.1	4.5	3.2
ROE (%)	9.9	126.6	73.4	54.2
EV/EBITDA	63.9	9.4	6.9	5.3
Div yld (%)	0.3	2.4	3.1	3.6

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

GigaDevice Semiconductor Beijing Inc (603986.SS)

Our price target is our base-case value, derived from our residual income model. Key assumptions: cost of equity of 9.4% (beta 1.1, risk-free rate 2% and risk premium 6.5%), a payout ratio of 40%, medium-term growth rate of 11.3% and a terminal growth rate of 2.5%.

Risks to Upside

- NOR up-cycle driven by stronger demand
- Superior chip design, leading to increasing exposure to low-density NOR
- Faster-than-expected DRAM development

Risks to Downside

- NOR down-cycle driven by weaker demand
- Inferior chip design, leading to increasing exposure to mid-/high-density NOR
- Slower-than-expected DRAM development

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(as of July 31, 2026)

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	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1529	42%	442	47%	29%	750	43%
Equal-weight/Hold	1582	43%	396	42%	25%	773	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	560	15%	97	10%	17%	217	12%
Total	3,674		936			1741	

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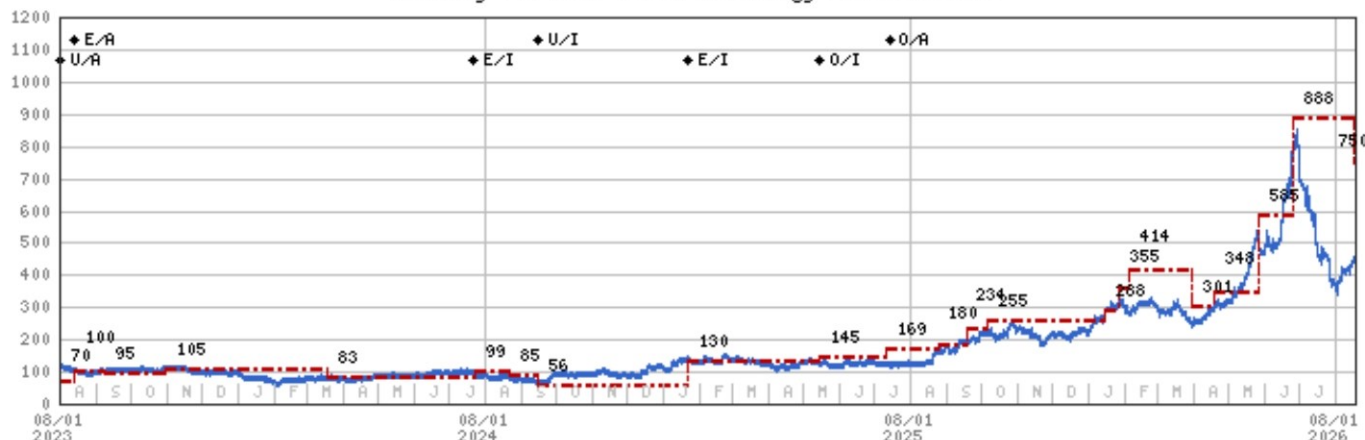
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GigaDevice Semiconductor Beijing Inc (603986.SS) - As of 08/18/26 GMT in CNY
Industry : Greater China Technology Semiconductors



Stock Rating History: 8/1/21 : O/I; 10/12/21 : O/C; 10/19/21 : E/C; 12/3/21 : O/C; 7/13/22 : E/C; 10/4/22 : E/A; 10/18/22 : U/A; 2/22/23 : U/I; 7/7/23 : U/A; 8/14/23 : E/A; 7/21/24 : E/I; 9/15/24 : U/I; 1/22/25 : E/I; 5/15/25 : O/I; 7/14/25 : O/A
Price Target History: 7/19/21 : 222; 8/12/21 : 233; 9/17/21 : 208; 10/19/21 : 150; 12/3/21 : 222; 4/29/22 : 192; 7/5/22 : 168; 7/13/22 : 120; 8/27/22 : 122; 9/28/22 : 105; 10/18/22 : 72; 5/2/23 : 70; 8/14/23 : 100; 9/8/23 : 95; 10/31/23 : 105; 3/18/24 : 83; 7/23/24 : 99; 8/21/24 : 85; 9/15/24 : 56; 1/22/25 : 130; 5/15/25 : 145; 7/11/25 : 169; 8/25/25 : 180; 9/18/25 : 234; 10/7/25 : 255; 1/16/26 : 288; 1/28/26 : 355; 2/5/26 : 414; 3/31/26 : 301; 4/20/26 : 348; 5/28/26 : 585; 6/26/26 : 888; 8/17/26 : 750

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INDUSTRY COVERAGE: Greater China Technology Semiconductors

COMPANY (TICKER)	RATING (AS OF)	PRICE* (08/18/2026)
Charlie Chan		
ACM Research Inc (ACMR.O)	O (03/07/2023)	US\$85.64
Advanced Micro-Fabrication Equipment Inc (688012.SS)	O (11/06/2023)	Rmb398.33
Advanced Wireless Semiconductor Co (8086.TWO)	U (07/14/2025)	NT\$115.00
Alchip Technologies Ltd (3661.TW)	O (05/14/2021)	NT\$3,715.00
ASE Technology Holding Co. Ltd. (3711.TW)	O (09/15/2024)	NT\$599.00
Cambricon Technology Corporation (688256.SS)	O (04/27/2026)	Rmb1,162.50
Global Unichip Corp (3443.TW)	O (06/24/2026)	NT\$5,535.00
GlobalWafers Co Ltd (6488.TWO)	E (05/19/2026)	NT\$1,060.00
Gudeng Precision (3680.TWO)	O (11/25/2025)	NT\$473.50
Hua Hong Semiconductor Ltd (1347.HK)	E (03/12/2026)	HK\$128.90
Iluvatar CoreX Semiconductor Co., Ltd. (9903.HK)	O (04/27/2026)	HK\$425.00
King Yuan Electronics Co Ltd (2449.TW)	O (03/03/2023)	NT\$236.00
Maxscend Microelectronics Co Ltd (300782.SZ)	U (01/11/2021)	Rmb81.68
MediaTek (2454.TW)	O (11/28/2025)	NT\$3,885.00
MetaX Integrated Circuits (688802.SS)	E (04/27/2026)	Rmb770.11
Nanya Technology Corp. (2408.TW)	O (05/28/2026)	NT\$515.00
NAURA Technology Group Co Ltd (002371.SZ)	O (11/06/2023)	Rmb777.00
OmniVision Integrated Circuits Group Inc (603501.SS)	E (11/17/2025)	Rmb90.54
Phison Electronics Corp (8299.TWO)	E (02/25/2026)	NT\$2,000.00
SG Micro Corp. (300661.SZ)	E (11/03/2025)	Rmb116.92
Silergy Corp. (6415.TW)	U (05/19/2026)	NT\$445.50
SMIC (0981.HK)	O (10/21/2025)	HK\$75.85
TSMC (2330.TW)	O (02/07/2022)	NT\$2,380.00
UMC (2303.TW)	O (05/19/2026)	NT\$119.00
Vanguard International Semiconductor (5347.TWO)	E (01/14/2026)	NT\$155.00
WIN Semiconductors Corp (3105.TWO)	U (07/14/2025)	NT\$374.50

Daisy Dai, CFA

ASMP Ltd (0522.HK)	O (07/24/2025)	HK\$174.40
China Resources Microelectronics Limited (688396.SS)	U (03/02/2026)	Rmb65.01
Empyrean Technology Co Ltd (301269.SZ)	E (01/17/2025)	Rmb101.72
Hangzhou Silan Microelectronics Co. Ltd. (600460.SS)	U (08/25/2025)	Rmb34.88
Hygon Information Technology Co., Ltd. (688041.SS)	O (07/03/2026)	Rmb280.08
Innoscence (2577.HK)	E (10/13/2025)	HK\$45.98
JCET Group Co Ltd (600584.SS)	E (01/16/2026)	Rmb85.42
Shanghai Fudan Microelectronics (1385.HK)	O (03/07/2025)	HK\$26.92
SICC Co Ltd (688234.SS)	O (03/20/2026)	Rmb120.65
StarPower Semiconductor Ltd (603290.SS)	E (05/14/2026)	Rmb91.19
Unigroup Guoxin Microelectronics Co Ltd (002049.SZ)	U (01/10/2023)	Rmb66.38
Universal Scientific Ind. (Shanghai) (601231.SS)	O (11/05/2025)	Rmb28.69
Yangjie Technology (300373.SZ)	O (06/10/2022)	Rmb102.20

Daniel Yen, CFA

AP Memory Technology Corp (6531.TW)	O (07/11/2025)	NT\$863.00
ASMedia Technology Inc (5269.TW)	U (10/03/2025)	NT\$1,360.00
Aspeed Technology (5274.TWO)	O (06/09/2025)	NT\$17,055.00
Egis Technology Inc (6462.TWO)	E (01/28/2026)	NT\$98.50
Elan Microelectronics Corp (2458.TW)	O (10/03/2025)	NT\$141.00
eMemory Technology Inc (3529.TWO)	O (08/18/2026)	NT\$2,340.00
Espressif Systems (688018.SS)	O (05/15/2023)	Rmb113.58
GigaDevice Semiconductor Beijing Inc (603986.SS)	O (05/15/2025)	Rmb436.74
Macronix International Co Ltd (2337.TW)	O (09/18/2025)	NT\$122.00
Montage Technology Co Ltd (6809.HK)	O (03/18/2026)	HK\$290.80
Montage Technology Co Ltd (688008.SS)	O (03/18/2026)	Rmb218.00
Novatek (3034.TW)	U (02/04/2026)	NT\$505.00
Nuvoton Technology Corporation (4919.TW)	U (11/10/2025)	NT\$118.00
Parade Technologies Ltd (4966.TWO)	O (05/27/2026)	NT\$565.00
Powerchip Semiconductor Manufacturing Co (6770.TW)	O (10/27/2025)	NT\$69.70
Realtek Semiconductor (2379.TW)	E (01/30/2026)	NT\$707.00
Shenzhen Goodix Technology Co Ltd (603160.SS)	U (07/14/2025)	Rmb51.03
Winbond Electronics Corp (2344.TW)	O (05/28/2026)	NT\$176.50
WPG Holdings (3702.TW)	O (03/16/2026)	NT\$106.50
WT Microelectronics Co. Ltd. (3036.TW)	O (01/27/2026)	NT\$202.00

Duan Liu

Dosilicon Co Ltd (688110.SS)	U (09/06/2024)	Rmb124.15
Shenzhen Longsys Electronics Co Ltd (301308.SZ)	E (02/25/2026)	Rmb412.18

Tiffany Yeh

AllRing Tech Co. (6187.TWO)	O (09/23/2025)	NT\$1,260.00
FOCI Fiber Optic Communications Inc (3363.TWO)	O (01/15/2025)	NT\$586.00
Himax Technologies Inc (HIMX.O)	E (02/04/2026)	US\$15.41
Hon Precision (7769.TW)	O (04/17/2026)	NT\$6,525.00
MPI Corporation (6223.TWO)	O (04/17/2026)	NT\$5,270.00
Silicon Motion (SIMO.O)	O (05/06/2024)	US\$272.70
WinWay Technology Co Ltd (6515.TW)	O (04/17/2026)	NT\$6,315.00

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* Historical prices are not split adjusted.